

KPI Framework

NorthStar Manufacturing - Invoice Approval Process Optimization

KPI Framework Purpose

The KPI framework gives Finance leadership and AP a way to manage invoice approvals using facts instead of anecdotal status updates. NorthStar should measure baseline performance for 30-60 days before setting numeric improvement targets.

Core KPIs

KPI	Definition	Why It Matters
Average approval cycle time	Average days from invoice receipt to approval.	Measures approval speed.
Median approval cycle time	Middle value of approval duration.	Reduces distortion from outliers.
Approval aging	Days an invoice has been pending approval.	Identifies stuck invoices.
Overdue approval count	Invoices past approval SLA.	Shows delay volume.
% approved within SLA	Approved within SLA divided by total approved.	Measures compliance with approval expectations.
Late payment count	Invoices paid after vendor due date.	Measures payment risk.
Missed discount opportunities	Early-payment discounts lost because invoice was not approved/paid in time.	Quantifies financial leakage.
Exception rate	Invoices with exception codes divided by total invoices.	Shows invoice quality and process friction.
Non-PO invoice percentage	Non-PO invoices divided by total invoices.	Measures control exposure and manual review volume.
Duplicate invoice count	Duplicate invoices identified.	Measures control effectiveness.
AP follow-up count	Manual follow-ups sent by AP.	Measures administrative burden.
Approver workload	Pending invoices by approver.	Identifies workload bottlenecks.
Invoice volume by department	Invoice count by department.	Identifies high-volume departments.
Audit evidence retrieval time	Time needed to retrieve complete approval evidence.	Measures audit readiness.

Recommended Dashboard Views

Dashboard View	Audience	Purpose
Executive summary	Finance Director and Finance Manager	Show overall backlog, overdue approvals, late-payment risk, and trend lines.
AP operations view	AP Analysts and AP Lead	Manage pending invoices, exceptions, follow-up needs, and handoffs.
Approver aging view	Managers, Directors, Finance Director	Show invoices pending by approver and age.
Exception trend view	Finance, AP, Accounting	Identify upstream causes such as missing POs, vendor errors, documentation gaps, and unclear ownership.
Payment risk view	Finance and Accounting	Identify invoices approaching due date without approval.

Dashboard View	Audience	Purpose
Audit evidence view	Finance and Compliance	Monitor completeness and retrievability of approval documentation.

Measurement Design

Data Element	Needed For	Source Today	Future Source
Invoice received date	Cycle time and aging	Excel tracker	Workflow tool or Dynamics
Approval date	Cycle time and SLA compliance	Excel/Outlook	Workflow audit trail
Approver	Workload and bottleneck analysis	Excel matrix/tracker	Workflow routing rules
Status	Backlog and pending invoices	Excel	Workflow dashboard
Payment due date	Late-payment risk	Accounting/Dynamics	Workflow + Dynamics
Payment date	Late payment count	Dynamics	Dynamics
Exception reason	Root cause analysis	Not standardized today	Standardized tracker/workflow
Reminder count	AP administrative effort	Manual Outlook review	Workflow reminder history

Baseline and Target Approach

Because approval cycle time, overdue approvals, and approval aging are not currently measured, NorthStar should collect a 30-60 day baseline before setting numeric targets. Initial targets should be framed as percentage improvements from baseline rather than arbitrary numbers.

Success Area	Target Direction
Approval cycle time	Decrease from baseline.
Overdue approvals	Decrease from baseline.
Late payments	Decrease from baseline.
Missed discounts	Decrease from baseline.
AP manual follow-ups	Decrease from baseline.
Exception rate	Decrease from baseline.
Approval documentation completeness	Increase from baseline.
Manager SLA compliance	Increase from baseline.
Audit evidence retrieval speed	Improve from baseline.

Governance Cadence

Cadence	Review Focus	Owner
Daily or every other day	High-risk overdue approvals and invoices close to payment due date.	AP Lead or AP Analyst
Weekly	Aging report, overdue approvals, exception trends, and approver workload.	Finance Manager
Monthly	KPI trends, late payments, missed discounts, and process improvement actions.	Finance Director
Quarterly	Approval matrix review, policy review, control review, and automation roadmap status.	Finance Manager and Finance Director